NO. 18-0358

In the Supreme Court of Texas
Judicial Panel on Multidistrict Litigation

IN RE TEXAS OPIOID LITIGATION

JOINT REPLY IN SUPPORT OF DEFENDANTS' MOTIONS TO TRANSFER

Noelle M. Reed
State Bar No. 24044211
noelle.reed@skadden.com
SKADDEN, ARPS, SLATE,
MEAGHER & FLOM LLP
1000 Louisiana Street, Suite 6800
Houston, Texas 77002
Tel: (713) 655-5122
Fax: (713) 483-9122
Lead Counsel for Defendants

May 21, 2018

TABLE OF CONTENTS

I. Plaintiffs do not contest that the Texas opioid cases meet the criteria for coordination. 2
II. The MDL Panel is best positioned to select and appoint a pretrial judge. . 3
III. CONCLUSION 4

Plaintiffs[1] do not, and cannot, dispute that the cases brought by Texas Counties against prescription opioid manufacturers and distributors involve common questions of fact and law. As such, coordinating the cases before a single court for all pretrial proceedings will promote efficiency, avoid duplicative discovery and inconsistent rulings, and conserve judicial and party resources.

Though Plaintiffs acknowledge that their cases "may" meet the criteria for transfer to an MDL pretrial court, including that the cases are related for purposes of Rule 13, Plaintiffs object to the pending Motions to Transfer as purportedly "procedurally defective" because the original Motions did not include some related cases. This argument is meritless. First, a motion to coordinate cases in an MDL is not defective merely because it does not include every related case that may later be added. Rule 13 contemplates that after an MDL proceeding is created, later actions may be added as tag-along cases. Plaintiffs cite no case law supporting their claim that the Motions are improper merely because they do not include every possible related case.

More to the point, Defendants[2] filed a supplement to the original Motions adding cases identified by Plaintiffs.[3] For each of the cases added in the Supplement, Defendants contacted the parties to the case to inform them of the supplemental filing, and no party has filed or requested to file a response.

In addition to Plaintiffs' procedural arguments, in their Response, Plaintiffs attempt to influence the Panel's selection of an MDL court or location for the MDL proceeding. Precedent decisions from the Panel, however, plainly state that the Panel does not need or want parties to a potential MDL proceeding to propose

[1] In this Reply, Defendants address the arguments raised by the Counties of Dallas, Delta, Falls, Hopkins, Travis, and Van Zandt ("Plaintiffs") in Plaintiffs' Joint Response to Defendants' Motion to Transfer and Request for Immediate Stay ("Response"). Defendants will file a separate reply to address Bexar County's Response to Defendants' Joint Motion to Transfer.

[2] Defendants include the signatories below. Defendant Cephalon, Inc. joins this Reply in an abundance of caution, as it was named as a party to *Maverick County, Texas v. Purdue Pharma, L.P.*, No. 17-10-34909-MCVAJA in the 365th District Court of Maverick County. *See* Distributor Defs.' Joint Mot. to Transfer, at App'x A (filed May 1, 2018) (incorporating this case into the MDL Motion).

[3] *See* Distributor Defs.' Joint Mot. to Transfer, at App'x A (filed May 1, 2018); Defs.' Joint Supp. to Defs.' Mots. to Transfer ("Supplement"), at Supp. App'x A (filed May 10, 2018).

judges to handle the coordinated pretrial proceedings. In deference to that precedent, Defendants did not make such proposals. If, however, the Panel is inclined to entertain Plaintiffs' suggestions, Defendants respectfully request leave to make a further submission in response to Plaintiffs' proposal.

I. Plaintiffs do not contest that the Texas opioid cases meet the criteria for coordination.

Plaintiffs do not challenge Defendants' contention that the cases brought by Texas Counties against prescription opioid manufacturers and distributors should be transferred to a pretrial court because: (1) the cases involve common questions of fact; (2) coordinated written and document discovery would be more efficient than proceeding in multiple courts; (3) coordination would promote consistency among pretrial rulings; and (4) the demands on the time and resources of parties and witnesses would be minimized.[4] Therefore, Plaintiffs do not contest that the Texas opioid cases meet the requirements for an MDL proceeding.

Plaintiffs argue, without support, that the Panel cannot evaluate the propriety of transferring the identified cases until five actions that "involve similar issues" are added to the Motions to Transfer and the interested parties in those cases have an opportunity to be heard.[5] But Defendants have already added those five actions,[6] and as detailed in their Supplement, Defendants conferred with the parties to those actions and stated their positions as to the MDL Motions.[7] None of the parties to

[4] *See* Defs.' Joint Mot. to Transfer ("Manufacturers' Motion to Transfer") (filed Apr. 20, 2018); Distributor Defs.' Joint Mot. to Transfer; Defs.' Joint Supp. to Defs.' Mots. to Transfer.

[5] *See* Pls.' Joint Resp. to Defs.' Mot. to Transfer and Request for Immediate Stay, at 2-4.

[6] In their Motion to Transfer, the Distributors included *County of Hidalgo v. Purdue Pharma, LP*, No. C-1349-18-C in the 404th District Court of Hidalgo County into the MDL Motion. *See* Distributor Defs.' Joint Mot. to Transfer, at App'x A. This Panel has already stayed this action. In the Supplement filed the same day as Plaintiffs' Response, the Manufacturers and Distributors incorporated *County of Burleson v. Purdue Pharma LP*, No. 29267 in the 335th District Court of Burleson County; No. 2018-DCL-02237-G; *County of Cameron v. Purdue Pharma LP* in the 404th District Court of Cameron County; *County of Liberty v. Purdue Pharma LP*, No. CV1813222 in the 75th District Court of Liberty County; and *County of Waller v. Purdue Pharma LP*, No. 18-04-24828 in the 506th District Court of Waller County, as well as six other actions. *See* Defs.' Joint Supp. to Defs.' Mots. to Transfer, at Supp. App'x A.

[7] Defs.' Joint Supp. to Defs.' Mots. to Transfer, at Supp. App'x D.

the five additional actions filed or requested to file a response to the Motions to Transfer.

Even if Defendants had not added the five later-filed cases, the Motion to Transfer would still be proper under Rule 13. Rule 13 states that a motion for transfer to a pretrial court must "state whether all parties in those cases for which transfer is sought agree to the motion …." *See* Tex. R. Jud. Admin. 13.3(a)(3). In the Manufacturer Defendants' Motion, they identified six cases "for which transfer was sought" and stated the position of the parties to those cases.[8] Unable to dispute this, Plaintiffs instead complain that Defendants' Motion did not state the position of parties to cases for which transfer was not sought at the time the Motion was filed. Although Defendants went above and beyond the requirements of the Rule in identifying future cases for which transfer might later be sought, that did not alter the plain requirements of Rule 13. Plaintiffs do not identify any portion of the Rule or any case law supporting their position to the contrary.

In addition, Rule 13 expressly contemplates that once an MDL is established, additional cases may be added to the proceeding. Rule 13.5(e) provides a procedure for adding tag-along cases—cases not originally included in the Motion to Transfer—to an existing MDL proceeding. Parties to a tag-along case may object to the transfer for a period of time after a tag-along notice is filed. *See* Tex. R. Jud. Admin. 13.5(e). Again, Plaintiffs fail to identify any Rule or precedent that supports their position that the tag-along procedure does not provide parties to a later-filed case sufficient protection and opportunity to object to coordination of that later-filed case.

II. The MDL Panel is best positioned to select and appoint a pretrial judge.

The MDL Panel has clearly stated that "the decision [of selecting the pretrial judge] rests solely within the discretion of the MDL Panel." *In re Petroleum Wholesale Litig.*, 339 S.W.3d 405, 410 (Tex. M.D.L. Panel 2009). Accordingly, the

[8]Defs.' Joint Mot. to Transfer, at App'x D.

Panel has indicated that it disfavors parties recommending that a pretrial proceeding be heard in a particular county or by a particular judge. As the Panel has observed, such recommendations are inappropriate because MDL proceedings are not meant to facilitate "forum shopping" or "the appearance of forum shopping." *See In re Alcon S'holder Litig.*, 387 S.W.3d 121, 125 (Tex. M.D.L. Panel 2010) (quoting *In re Petroleum Wholesale Litig.*, 339 S.W.3d at 409).

Despite the Panel's clear statements on this issue, Plaintiffs offer their suggestions to the Panel on the appropriate MDL court and location.[9] Plaintiffs also criticize Defendants for following the Panel's directives rather than "cooperating" with Plaintiffs to attempt to identify mutually agreeable judges or forums. It is true that Defendants neither made their own recommendations nor attempted to coordinate recommendations with Plaintiffs. Defendants declined to do so in light of the Panel's guidance on this issue.

If, however, Defendants have misinterpreted the Panel's guidance on this point and the Panel is inclined to consider recommendations from the parties, Defendants respectfully request the opportunity to submit their own recommendations to the Panel.

III. CONCLUSION

For the foregoing reasons, Defendants' Motions to Transfer the related Texas opioid actions identified in Manufacturers' Appendix A, Distributors' Appendix A, and Supplemental Appendix A to a pretrial court for coordinated pretrial proceedings should be granted.

Dated: May 21, 2018

Respectfully submitted,

/s/ Noelle M. Reed

[9]The forum suggestion by the Texas Attorney General submitted in its procedurally improper Amicus Curiae Letter Brief, at 1 (filed May 10, 2018), should also be disregarded. The Texas Attorney General's lawsuit which asserts a single claim against a single manufacturer family is not subject to the current MDL petition and should not be considered in determining whether to coordinate the identified cases brought by Texas Counties.

Noelle M. Reed*
State Bar No. 24044211
noelle.reed@skadden.com
SKADDEN, ARPS, SLATE,
MEAGHER & FLOM LLP
1000 Louisiana Street, Suite 6800
Houston, Texas 77002
Tel: (713) 655-5122
Fax: (713) 483-9122
Counsel for Purdue Pharma L.P.; Purdue Pharma Inc.; and The Purdue Frederick Company Inc.
**Lead Counsel for Defendants*

Wesley Hill
State Bar No. 24032294
wh@wsfirm.com
WARD, SMITH & HILL, PLLC
1507 Bill Owens Parkway
Longview, Texas 75604
Tel: (903) 212-3937
Fax: (903) 757-2323
Counsel for Allergan Finance, LLC f/k/a Actavis, Inc. f/k/a Watson Pharmaceuticals, Inc.

Stephen E. McConnico
State Bar No. 13450300
smcconnico@scottdoug.com
SCOTT DOUGLASS &
MCCONNICO LLP
303 Colorado Street, Suite 2400
Austin, Texas 78701
Tel: (512) 495-6300
Fax: (512) 495-6399
Counsel for Johnson & Johnson; Janssen Pharmaceuticals, Inc.; Ortho-McNeil-Janssen Pharmaceuticals, Inc. n/k/a Janssen Pharmaceuticals, Inc.; and Janssen Pharmaceutica, Inc. n/k/a Janssen Pharmaceuticals, Inc.

J. Laurens Wilkes
State Bar No. 24053548
jlwilkes@jonesday.com
JONES DAY
717 Texas Avenue, Suite 3300
Houston, Texas 77002
Tel: (832) 239-3796
Fax: (832) 239-3600
Counsel for AbbVie Inc. and Knoll Pharmaceutical Company, a wholly-owned subsidiary of AbbVie Inc.

Hannah DeMarco Sibiski
State Bar No. 24041373
hannah.sibiski@arnoldporter.com
ARNOLD & PORTER KAYE
SCHOLER LLP
700 Louisiana Street, Suite 4000
Houston, Texas 77002
Tel: (713) 576-2416
Fax: (713) 576-2499
Counsel for Endo Health Solutions Inc. and Endo Pharmaceuticals Inc.

Christina M. Vitale
State Bar No. 24077610
christina.vitale@morganlewis.com
MORGAN, LEWIS & BOCKIUS LLP
1000 Louisiana Street, Suite 4000
Houston, Texas 77002
Tel: (713) 890-5764
Fax: (713) 890-5001
Counsel for Watson Laboratories, Inc.; Actavis LLC; Actavis Pharma, Inc. f/k/a Watson Pharma, Inc.; Cephalon, Inc.; and Teva Pharmaceuticals USA, Inc.

Nicholas A. Sarokhanian
State Bar No. 24075020
nicholas.sarokhanian@hklaw.com
HOLLAND & KNIGHT LLP
200 Crescent Court, Suite 1600
Dallas, Texas 75201
Tel: (214) 964-9500
Fax: (214) 964-9501
Counsel for Insys Therapeutics, Inc. and Insys Manufacturing, LLC

Craig Smyser
csmyser@skv.com
Texas Bar No. 18777575
David Isaak
disaak@skv.com
Texas Bar No. 24012887
Tyler G. Doyle
tydoyle@skv.com
Texas Bar No. 24072075
Razvan Ungureanu
razvan@skv.com
Texas Bar No. 24085630
Kristin E. Adler
kadler@skv.com
Texas Bar No. 793233
Michelle Stratton
mstratton@skv.com
Texas Bar No. 24085606
SMYSER KAPLAN & VESELKA, L.L.P.
700 Louisiana, Suite 2300
Houston, Texas 77002
Tel: (713) 221-2300
Fax: (713) 221-2320
Counsel for McKesson Corporation

Michael W. Mengis
mmengis@bakerlaw.com
State Bar No. 13941040
Matt R. Raley
mraley@bakerlaw.com
State Bar No. 24051224
BAKER & HOSTETLER LLP
811 Main Street, Suite 1100
Houston, Texas 77002
Tel: (713) 751-1600
Fax: (713) 751-1717

Enu Mainigi*
emainigi@wc.com
F. Lane Heard*
lheard@wc.com
Steven M. Pyser*
spyser@wc.com
Ashley W. Hardin*
ahardin@wc.com
WILLIAMS & CONNOLLY LLP
725 Twelfth Street, N.W.
Washington, DC 20005
Tel: (202) 434-5000
Fax: (202) 434-5029

**denotes national counsel who will seek pro hac vice admission*

Counsel for Cardinal Health, Inc.

Stan Perry
State Bar No. 15799920
sperry@reedsmith.com
Michael H. Bernick
State Bar No. 24078227
mbernick@reedsmith.com
Rachel A. Buchhorn
State Bar No. 24105552
rbuchhorn@reedsmith.com
REED SMITH LLP
811 Main Street, Suite 1700
Houston, Texas 77002
Tel: (713) 469-3800
Fax: (713) 469-3899
Melissa R. Smith
State Bar No. 24001351
melissa@gillamsmithlaw.com
GILLAM & SMITH, LLP
303 South Washington Avenue
Marshall, Texas 75670
Tel: (903) 934-8450
Fax: (903) 934-9257
James W. Litzler
State Bar No. 12434510
james@litzlerlaw.com
LITZLER LAW
430 Church Street
P.O. Box 1416
Sulphur Springs, Texas 75483
Tel: (903) 885-1441
Fax: (903) 439-0292
Counsel for AmerisourceBergen Corporation and AmerisourceBergen Drug Corporation*

CERTIFICATE OF SERVICE

I hereby certify that, on May 21, 2018, a true and correct copy of this JOINT REPLY IN SUPPORT OF DEFENDANTS' MOTIONS TO TRANSFER was served through the electronic filing system to all counsel of record.

/s/ Noelle M. Reed
Noelle M. Reed